

The Auditor Is Getting an AI Upgrade

Federal compliance oversight is entering an analytics-driven era. Contractors that cannot rapidly produce traceable evidence may face increasing scrutiny.

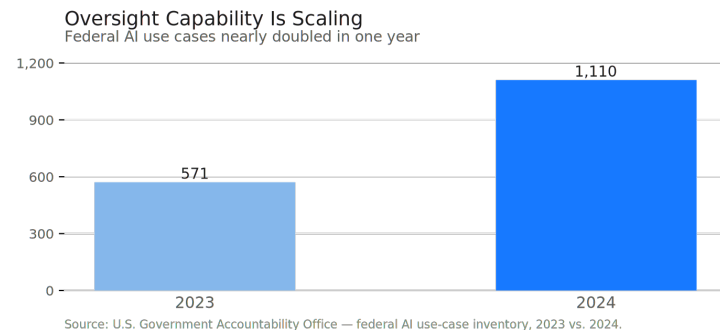


Core thesis: AI will not eliminate audits. It will make them smarter, faster, more targeted, and more dependent on traceable evidence.

Where oversight is heading

Federal oversight is moving from manpower-limited review to analytics-driven detection. The practical question for contractors is no longer simply whether they are compliant; it is whether they can prove the basis for every material representation when asked.

Can you prove it?
The proof is the data
already submitted or
sitting inside the
system of record.



What changed

The cost of reviewing records, correlating data, and identifying anomalies is falling. Detection increasingly scales with computation, while remediation still depends on people, process, and evidence quality.

Why it matters

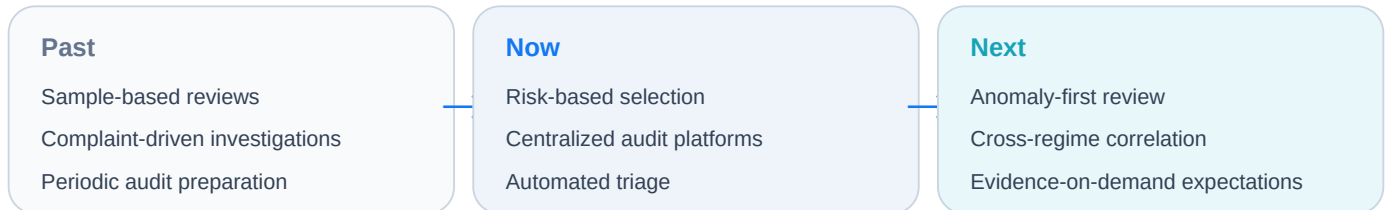
A contractor's exposure is increasingly its own inconsistent or unsupportable records: supplier data, flow-downs, representations, eSRS reports, SPRS scores, and audit evidence.

This white paper focuses on federal contractor regimes where structured data already exists: eSRS subcontracting reports, SPRS and DFARS self-attestations, CMMC evidence, DCAA incurred-cost and business-system audits, and DCMA purchasing-system review.

Executive takeaway: Compliance risk is moving from narrative explanation to data reconciliation. Contractors need evidence that is already organized before the request arrives.

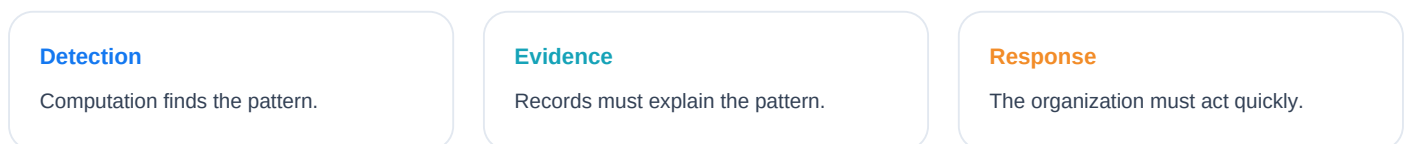
The end of manpower-limited auditing

For decades, enforcement was constrained by the number of people available to review contractors, suppliers, transactions, certifications, and reports. That constraint is weakening.



The Defense Contract Audit Agency provides a public marker of the shift. GAO reported that DCAA eliminated its historical incurred-cost backlog “in large part” through risk-based, analytics-driven selection rather than by hiring its way out.[1]

The gap between how fast a problem is found and how slowly it can be fixed is the exposure — and it favors the auditor.



Find the problems first, then open the audit

The single most important change is the inversion of the sequence. Audits increasingly arrive with a prioritized list of anomalies rather than beginning with an open-ended search.

Legacy audit sequence



AI-enabled oversight sequence



For contractors, the consequence is direct. Indirect-rate construction, accrual support, subcontractor cost patterns, labor-mix anomalies, and peer-group outliers can become individually flaggable before an auditor ever arrives.

Practical implication: the audit file can no longer be assembled only after the inquiry begins. The evidence model must exist before anomalies are selected.

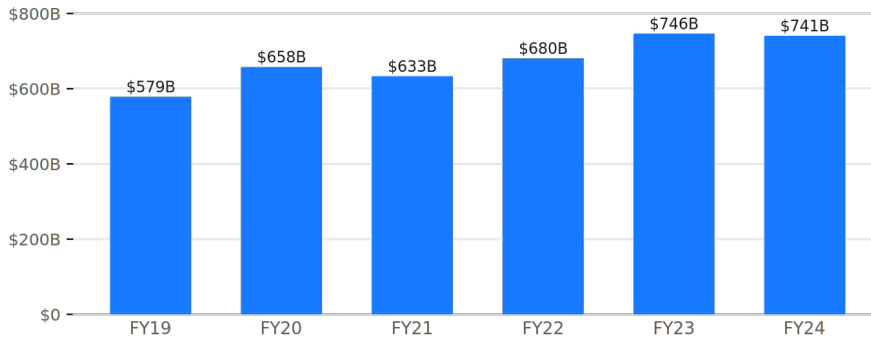
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The dataset already exists

Most industries would have to build the dataset before analytics could be turned on them. Federal contracting already produced it.

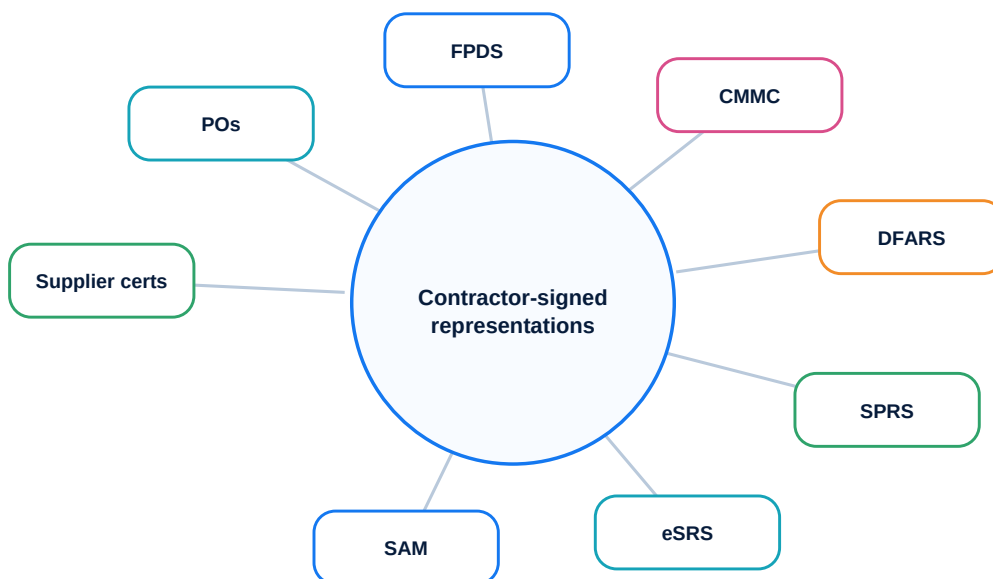
Federal Contract Spending Under Compliance Oversight

The regulated market, FY2019–FY2024 (\$ billions)



Source: USAspending.gov — contract award obligations by fiscal year.

The market is large, structured, and already documented. Each filing is more than an administrative record; each is a representation about identity, cybersecurity posture, subcontract performance, country of origin, ownership, or supplier status that can be compared against public registries, prior submissions, peer benchmarks, and the contractor's own evidence.



Evidence graph: submitted data, internal systems, supplier records, and audit support

Domains where scrutiny accelerates first

The highest-risk domains share a common pattern: structured submissions, repeated representations, supplier-linked records, and evidence that should be traceable after the fact.

eSRS

EXPOSURE

Inconsistent reporting

Subcontracting data can be compared by goal, period, prime, and supplier.

DFARS / SPRS / CMMC

EXPOSURE

Unsupported attestation

Cyber attestations can be matched to score movements and evidence records.

DCAA

EXPOSURE

Anomalies before audit

Cost patterns, accruals, indirect rates, and outliers can trigger targeted review.

DCMA

EXPOSURE

Missing support chain

Purchasing-system evidence links suppliers, flow-downs, ownership, and source decisions.

The self-attestation becomes the exposure when the organization cannot substantiate the representation after the fact.

06

What this looks like at a top-100 contractor

The issue is not usually fraud. The issue is consistency across systems, acquisitions, suppliers, business units, and time.

The challenge is not fraud. The challenge is consistency.

18,000+

SUPPLIERS

7

ERP INSTANCES

40

ACQUISITIONS

Millions

PO RECORDS

The exposure is not that someone lied. The exposure is that nobody realized the records disagreed.

When government systems can compare representations across years, contracts, suppliers, and business units, inconsistencies become visible: a supplier classified one way in one unit and another way elsewhere, a flow-down acknowledged in one system and missing in another, or a score that does not reconcile with the evidence behind it.

The board-level question becomes whether the contractor can reconcile its own records before external analytics are run against them.

Oversight becomes data-driven while compliance stays document-driven

This is the uncomfortable part: many contractors still manage supplier compliance through spreadsheets, email, PDFs, shared drives, and disconnected portals while oversight agencies invest in analytics, anomaly detection, graph analysis, and risk scoring.

Government oversight

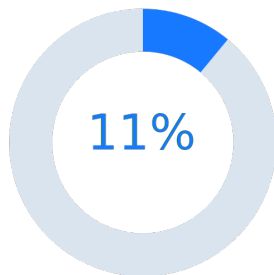
Analytics, machine learning, anomaly detection, graph analysis, centralized platforms, risk scoring, and cross-regime correlation.

Contractor compliance

Spreadsheets, PDFs, email chains, shared drives, disconnected portals, manual reconciliation, and after-the-fact evidence searches.

The Readiness Gap

Compliance teams using AI for fraud & corruption detection



of compliance teams use AI for the task that matters most — while oversight agencies scale theirs.

Source: Compliance Week, "Inside the Mind of the CCO" survey, 2024.

DOJ's September 2024 Evaluation of Corporate Compliance Programs directs prosecutors to consider the technology available to compliance and risk-management personnel compared with technology used elsewhere in the business. That makes the compliance capability gap more than an operational concern; it becomes part of the enforcement conversation.[3]

Intelleges perspective: For 25 years, Intelleges has helped organizations create auditable compliance ecosystems before the audit, investigation, or customer request arrives.

From compliance by assertion to compliance by evidence

Leading organizations are changing the question they ask. Not whether they are compliant, but whether they can prove, trace, defend, reconcile, and find inconsistencies before someone else does.

1

PROVE

Evidence linked to the representation.

2

TRACE

Approvals and data state are reconstructable.

3

DEFEND

The record withstands review.

4

RECONCILE

Internal records match external systems.

5

FIND FIRST

Gaps surface before external review.

In an audit, investigation, or litigation, a record reconstructed after the fact invites the question of whether it was changed to fit the answer. An immutable record with chain of custody is evidence, not assertion.

The question at the top of the house

For most of the last twenty years, compliance programs were evaluated on process. The new standard is evidence.

**CAN WE DEMONSTRATE
THE BASIS FOR EVERY
MATERIAL COMPLIANCE
REPRESENTATION
WE MAKE?**

A board asking “Do we have a compliance program?” is asking a process question. A board asking whether the company can demonstrate the basis for every material representation is asking an evidence question — and in an analytics-driven oversight environment, it is the second question that maps to exposure.

For a General Counsel, Chief Risk Officer, or audit committee, the practical test is whether the organization can reconstruct support for a representation the government decides to test years from now.

Fourteen questions every contractor should ask

The readiness test is simple: can you demonstrate the basis for what you have represented?

Questions 1–7

- 1 Can we reconcile supplier representations across all ERP instances?
- 2 Could we demonstrate every required DFARS flow-down across subcontracts?
- 3 Could we surface contradictory supplier classifications before someone else does?
- 4 Can we explain every major eSRS variance against goals and prior periods?
- 5 Can we prove who reviewed each critical attestation, and when?
- 6 Could we reconstruct evidence for a representation made several years ago?
- 7 Can we identify supplier evidence gaps before an auditor reaches them?

Questions 8–14

- 8 Can we demonstrate consistency across acquired business units?
- 9 Could we reproduce the evidence behind our current SPRS score?
- 10 Could we defend every sole-source justification against ownership and supply-chain records?
- 11 Do we know which single-source dependencies carry FOCI exposure?
- 12 Could we substantiate Buy American Act and TAA certifications through the actual supply chain?
- 13 Can we produce due-diligence and accounting-controls records for foreign operations?
- 14 Are we aligned with DOJ's Evaluation of Corporate Compliance Programs?

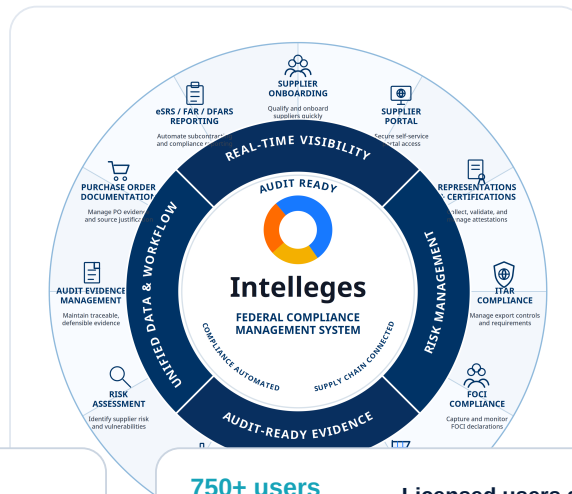
If these questions require manual reconstruction, the organization is not yet audit-ready for an analytics-led oversight environment.

11

Why Intelleges sees this problem differently

The challenge is not new. Only the speed of oversight is changing.

Intelleges has spent **25+ years** helping regulated manufacturers and federal contractors turn supplier compliance, procurement documentation, regulatory reporting, and audit readiness into a system of record rather than an after-the-fact document chase.


25+ years

Compliance system-of-record experience

750+ users

Licensed users across customer environments

400+ sites

Global operating footprint supported

Enterprise Proof
Honeywell Aerospace

Battelle

Celestica

In 25 years, nothing has happened. And we want to keep it that way.

The Intelleges response is not to make compliance look modern; it is to make evidence **structured, traceable, defensible, and available at the speed of oversight.**

COMPLETE RESEARCH EDITION AVAILABLE

This Executive Briefing summarizes key findings from Intelleges' comprehensive research paper, The Auditor Is Getting an AI Upgrade.

The Complete Research Edition includes expanded analysis of DCAA, DCMA, DFARS, SPRS, CMMC, eSRS, sole-source procurement, beneficial ownership, supply-chain risk, and emerging AI-enabled oversight practices.

To request a copy of the Complete Research Edition, please contact:

info@intelleges.com